

SUMMARY OF INDICATIVE TERMS AND CONDITIONS

\$42,000,000 Senior Secured Term Loan Facility — Strictly Confidential — For Discussion Purposes Only

Borrower:	Meridian Multifamily Holdings LLC, a Delaware limited liability company and wholly-owned subsidiary of Meridian Real Estate Fund III, L.P.
Guarantors:	Meridian Real Estate Fund III, L.P. (the “Fund Guarantor”) and Meridian REF III GP, LLC (the “GP Guarantor”), jointly and severally, on a non-recourse carveout and completion basis.
Administrative Agent / Lender:	First Continental Bank, N.A., as sole lead arranger, administrative agent and initial lender.
Facility:	Senior secured term loan facility in an aggregate principal amount of \$42,000,000 (the “Term Loan”), fully funded at Closing. No revolving or delayed-draw component.
Purpose:	To refinance existing indebtedness on the Properties, fund capital expenditure reserves, and pay transaction costs.
Properties:	Four multifamily properties located in the State of Texas: (i) Oakline Commons, 450 Oakline Drive, Dallas, TX (312 units); (ii) Brazos Bend Apartments, 2200 Brazos Bend Blvd, Houston, TX (276 units); (iii) Hill Country Flats, 88 Ranch Road 620, Austin, TX (198 units); and (iv) Mission Verde Residences, 1500 Mission Verde Way, San Antonio, TX (244 units).
Term / Maturity:	Five (5) years from the Closing Date, with two (2) one-year extension options subject to customary conditions including minimum DSCR and payment of an extension fee of 0.15%.
Interest Rate:	Term SOFR (1-month) plus 2.65% per annum, subject to a SOFR floor of 0.25%. Interest payable monthly in arrears.
Amortization:	Interest-only for the first twenty-four (24) months; thereafter, principal amortization based on a 30-year schedule.
Security:	First-priority mortgage or deed of trust on each Property; assignment of leases and rents; first-priority pledge of 100% of the equity interests in the Borrower; assignment of interest rate protection; and first-priority security interest in all reserves and accounts.
Financial Covenants:	Minimum debt service coverage ratio of 1.25x tested quarterly; maximum loan-to-value of 65% tested upon updated appraisal; minimum Guarantor net worth of \$75,000,000 and minimum liquidity of \$10,000,000.
Interest Rate Protection:	Borrower shall purchase an interest rate cap with a strike price such that DSCR is not less than 1.10x, from a counterparty rated at least A- by S&P.;

Conditions Precedent:	Customary for facilities of this type, including without limitation: satisfactory completion of lender due diligence; receipt of appraisals, property condition assessments, Phase I environmental site assessments and zoning reports for each Property; title insurance and surveys; evidence of insurance; KYC and beneficial ownership documentation for the Borrower and each Guarantor; certified organizational documents and good standing certificates; rent rolls and operating statements for each Property; and Guarantor financial statements.
Reporting:	Quarterly unaudited and annual audited financial statements of Borrower and Guarantors; quarterly rent rolls; annual budgets.
Governing Law:	State of New York (other than security documents governed by the law of the state where each Property is located).
Expenses / Deposit:	Borrower shall pay all reasonable out-of-pocket costs of the Lender. A good-faith deposit of \$150,000 is payable upon acceptance of this term sheet.

This Summary of Indicative Terms and Conditions is provided for discussion purposes only and does not constitute a commitment to lend. Any such commitment shall be subject to, among other things, completion of due diligence satisfactory to the Lender, credit approval, and execution of definitive documentation. Capitalized terms used and not defined herein shall have the meanings given in the definitive documentation. This term sheet is fictional and generated for a software demonstration; all names, entities and figures are invented.